

CITY OF COLUMBUS

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COMPREHENSIVE ANNUAL FINANCIAL REPORT

For the Fiscal Year Ended December 31, 2002

Issued by

CITY AUDITOR

HUGH J. DORRIAN

The City Auditor believes that, to the best of his knowledge, the data contained in this report present fairly the financial position and results of operations of the various funds of the City. All necessary disclosures are included in this report to enable the citizens and other readers to understand the City's financial activities.

The report:

This transmittal letter is designed to provide historical information about the City, as well as compliment the required Management's Discussion and Analysis (discussed below). Unless noted otherwise, the financial data in this transmittal letter is presented on the modified accrual basis of accounting. Generally accepted accounting principles require that management provide a narrative introduction, overview, and analysis to accompany the basic financial statements in the form of Management's Discussion and Analysis (MD&A). The City's MD&A, which focuses on the government-wide statements, can be found on page 47 of this report.

This Comprehensive Annual Financial Report (CAFR) is designed in a manner to assist and guide the reader in understanding its contents. The report consists of four sections:

- The Introductory Section, which includes this letter of transmittal, contains information pertinent to the City's management and organization. References in this section to Note A, Note B, etc., are to Notes to the Financial Statements contained in the Financial Section of this report.
- The Financial Section contains the Independent Auditor's Report, Management's Discussion and Analysis, Basic Financial Statements, Required Supplementary Information and various other Statements and Schedules pertaining to the City's funds and activities.
- The Statistical Section contains numerous tables of financial and demographic information. Much of this information is shown with comparative data for the ten-year period from 1993 through 2002. Also in this section are data necessary to meet the disclosure requirements of Rule 15c2-12(b)(5)(i)(C) and (D) of the Securities and Exchange Commission (SEC).
- The Single Audit Section, in accordance with the federal Single Audit Act of 1996, includes the following:
 - Independent Auditors' Report on Compliance and on Internal Control Over Financial Reporting Based on the Audit Performed in Accordance With *Government Auditing Standards*
 - Independent Auditors' Report on Compliance With Requirements Applicable to Each Major Program, Internal Control Over Compliance and Schedule of Receipts and Expenditures of Federal, State, and County Awards
 - Schedule of Receipts and Expenditures of Federal, State, and County Awards
 - Notes to Schedule of Receipts and Expenditures of Federal, State, and County Awards
 - Schedule of Findings and Questioned Costs

The reporting entity:

Columbus was first organized as a borough in 1816 and subsequently became a city on March 3, 1834. The City is a home-rule municipal corporation operating under the laws of Ohio. The City's Charter, its constitution, can only be amended by a majority of the City's voters. It has been amended many times since its original adoption in 1914, most recently on November 2, 1999. The laws of the State of Ohio prevail when conflicts exist between the Charter and the state constitution and in matters where the Charter is silent.

Columbus, Ohio's capital city, is located in the central part of the state, approximately 150 miles south of Cleveland and 110 miles northeast of Cincinnati. The City's elevation is approximately 777 feet above sea level. Inter and intra state highways I-70, I-71, I-270, and I-670 serve as some of the City's major transportation arteries. The Ohio State University, with 49,676 students on its Columbus campus, is located near the center of the City. Columbus was ranked as the nation's 16th largest city as a result of the 1990 census, and 15th as a result of the 2000 Census.